

R R Kabel Ltd

Concall Tracker · Q1 FY2027 (quarter ended 30 June 2026) · NSE: RRKABEL · BSE: 543981 · Report prepared 3 Aug 2026 · **Continuity update** to the Q4 FY26 report of 4 July 2026

Not investment advice. Do your own due diligence. An AI-generated reading of the company's own earnings-call transcripts and public financials.

1 Snapshot

What the business does: R R Kabel makes electrical **wires and cables** — the copper and aluminium wiring inside homes, offices, factories, power projects and, increasingly, data centres. That is about 90% of sales and is the higher-margin half. The rest is **FMEG** (fast-moving electrical goods — fans, lights, switches and small appliances such as geysers and coolers, sold under the RR and RR Signature brands). It buys metal, wraps it in plastic insulation, brands it, and sells it through roughly 1.5 lakh retail outlets in India plus exports to Europe, the Middle East and, in small volume so far, the USA. The founding Kabra family still owns about 61% of the company.

Measure (consolidated)	Value	What it means in plain words
Market cap	₹29,767 cr	What the market says the whole company is worth. A large mid-cap.
Share price / P/E	₹2,632 · 49x	The shares cost 49 times the last year's profit. Expensive — a lot of the growth below is already in the price.
Q1 FY27 revenue	₹3,168 cr	Sales in the June quarter, up 54% on last year's ₹2,059 cr. Highest ever in a single quarter.
Q1 FY27 operating profit	₹285 cr	EBITDA — profit from core operations before interest, tax and depreciation. Almost double last year's ₹143 cr.
Q1 FY27 operating margin	9.0%	Nine paise of operating profit per rupee of sales, up from 7%. Best first quarter the company has had.
Q1 FY27 net profit	₹205 cr	Final profit after everything, versus ₹90 cr a year ago. Includes a one-off ₹14 cr credit; stripping it out, ₹191 cr — still more than double.
FY26 revenue / profit	₹9,722 cr / ₹492 cr	Last full year: sales up 28%, profit up 58%. The trailing twelve months now read ₹10,832 cr and ₹608 cr.
ROCE (FY26)	28.1%	Profit earned per rupee of capital tied up in the business. Genuinely high for a metal-heavy manufacturer.
Borrowings (Mar 26)	₹337 cr	Small against ₹492 cr of annual profit. The expansion is being paid for out of the company's own cash.
Working capital	50 days	Cash tied up in stock and unpaid bills. Flat versus last quarter, with customer payment days actually down 3. Healthy.

2 Concall coverage

Calls	Dates	Status in this report	How it was covered
Q2 FY24 → Q3 FY26 nine consecutive calls	Nov 2023 – Feb 2026	Carried forward from the Q4-2026 report	All nine were read in full for the previous report. Their conclusions are carried into Sections 3 and 4 unchanged, not re-litigated here.
Q4 FY26 boundary call	Call 30 Apr 2026 (transcript filed 8 May 2026)	Boundary — re-read for guidance	The last call in the previous report. Re-read here specifically to pin down exactly what was promised, so the new quarter can be scored against it.
Q1 FY27	Call 27 Jul 2026 (transcript filed 3 Aug 2026)	Newly deep-read in full ★	The only genuinely new call since the last report. Everything in Sections 2b, 2c and 2d comes from it.

Coverage audit (checked against Screener's own listing, not the downloader's summary). Screener lists **13 concall rows** for R R Kabel. Two of them — Apr 2026 and May 2026 — are the *same* Q4 FY26 call (April carries only the slide deck and audio recording; the transcript was filed in May), so there are **12 distinct calls**, of which 11 have a readable transcript. The Apr 2026 row has no transcript link of its own, which is not a gap because the May row covers that call. Ten transcript PDFs downloaded cleanly; two rows — Nov 2025 (Q2 FY26) and Feb 2026 (Q3 FY26) — returned a web page rather than a PDF to the downloader. Both of those quarters sit *before* the coverage boundary and were read in full for the previous report, so nothing is missing for the analysis in this one. **The Aug 2026 row — the Q1 FY27 call this report turns on — downloaded and was read end to end.**

★ Latest concall highlights — Q1 FY27 (call held 27 July 2026)

- **Record quarter on every line.** Revenue ₹3,168 cr (+54%), operating profit ₹285 cr (+99%), profit after tax ₹205 cr (+128%). All-time highs. **But read the next bullet before you read anything into that.**
- **Most of the 54% is copper, not customers.** Wires-and-cables *volume* grew 17%; the rest of the revenue jump is higher metal and dollar prices passed into selling prices — management put the metal-price effect at roughly 40% year-on-year, worth about 25% on product pricing. The real operating achievement is that operating profit **doubled on 17% more product**, which is margin, not inflation.
- **The cable shift is now unmistakable.** Cable volumes grew over 25%, wire volumes about 12%. Wires-and-cables segment margin hit **9.9%, up from 7.6%** — already ahead of the 9.5% management guided for the whole of FY27, and they confirmed there was no inventory gain propping it up.
- **FMEG broke even for the first time ever.** The fans-lights-switches arm turned an operating loss of ₹7 cr (Q1 FY26) and ₹9 cr (Q4 FY26) into breakeven, on revenue of ₹288 cr, up 28%. This is the promise that had slipped three years running. Management cautioned that Q2 is seasonally weak and may dip back into loss; the commitment is breakeven *for the full year*.
- **The feared export hit did not happen.** Last quarter management warned the Middle East war would dent Q1 exports. Instead exports grew at the same ~57% pace as domestic, offset by other geographies, with Middle East shipments normalising through May and June. On the US they were candid: a few approvals in hand, "a very big opportunity", but **tariffs are still unresolved and nothing is committed.**
- **Guidance was *not* raised despite the beat.** Asked directly whether 9.9% in Q1 means the FY28 10.5% target should go up, the COO declined — "it is early in the year". FY27 volume growth reaffirmed at ~18%.

2c. Business mix & capacity (Q1 FY27). Segment split: wires and cables ₹2,880 cr (**91%** of revenue) earning ₹285 cr of segment profit at a 9.9% margin; FMEG ₹288 cr (**9%**) at breakeven. In plain terms, essentially all the profit comes from wire and cable; FMEG is now merely no longer a drag. **Domestic vs export:** the company **did not disclose an exact export share for the quarter** — it said only that exports and domestic grew at a similar rate. On the last disclosed basis (Q4 FY26) exports are about **30% of the wires-and-cables business**, of which roughly 40% goes to the Middle East; Europe and the Middle East are the two largest export markets and the USA is small. Within India, North and West together are about 65% of domestic revenue, South is improving, East remains weak. **Margins by geography** (management's own numbers): domestic wire earns 11–12% and export wire only ~5%; export cable earns 11–12% while domestic cable earns just 6–7% today, with a stated ambition of 10–11% once scale arrives. The mix shift toward cable therefore only pays off if the domestic cable margin climbs. **Capacity use:** cable plants ~**90%** (effectively full), wire plants **65–70%** (roughly a third of headroom left). New wire capacity comes on stream at Silvassa this quarter and new cable capacity at Waghodia later in FY27. Of the ₹1,200 cr three-year expansion, ₹300 cr was spent in FY26 and **₹600–650 cr lands in FY27** — the heavy year, ~80% of it toward cable. **Distribution:** over **1.5 lakh retail touchpoints**, with 20,000–25,000 added last year. Notably, the dealer/distributor count is *flat to slightly down* by design — management is consolidating for depth and higher revenue per dealer rather than adding names. **Brand and advertising spend was not disclosed on this call.** FMEG manufacturing is one-third in-house (ceiling fans, switchgear) and two-thirds outsourced, and management said that will not change; premium products are ~25% of FMEG revenue.

★ 2d. Since our last report

Prior report: Q4-2026 edition, dated 4 July 2026, covering eleven calls from Q2 FY24 to Q4 FY26. **Coverage boundary:** the Q4 FY26 call of 30 April 2026. **Prior verdicts:** durable earning trigger **YES**; management consistent **MAYBE**. **New material since:** exactly one call — Q1 FY27, held 27 July 2026.

Prior read

What we said then

What the new call shows

Movement

Confirmed

Cable-led scaling of the core	Cable growing high-teens vs low-single-digit wire; segment profit +56% in FY26.	Cable volume +25%, wire +12%. Wires-and-cables revenue +57% and segment profit doubled to ₹285 cr. The gap between cable and wire widened, not narrowed.	
Margin climb to 9.5% (FY27) then 10.5% (FY28)	130 of the promised 300 basis points banked in year one; path bumpy but direction held.	Q1 wires-and-cables margin 9.9% — <i>past</i> the full-year FY27 target in the first quarter, with no inventory gain in it. Management refused to raise the FY28 target.	Improving
FMEG break-even (slipped FY25 → FY26 → FY27)	"The single least-reliable promise." Losses shrinking but the date kept moving out a year at a time.	Operational breakeven achieved in Q1 FY27 — first time ever, and early within the FY27 window they last committed to. Caveat: Q2 is seasonally weak and may relapse; the real test is the full year.	Improving
Middle East export dent expected in Q1 FY27	Management flagged a likely one-quarter export hit; inventory had ballooned to ₹17.7 bn with goods stuck in transit.	It did not materialise. Exports grew at the same pace as domestic; other geographies absorbed the shortfall and Middle East shipping normalised in May–June. Working capital back to a stable 50 days.	Confirmed (honest warning, better outcome)
FY27 volume growth 16–18%	Reaffirmed at the boundary call after FY26 delivered ~16%.	Q1 volume +17%, against an industry management estimates at 10–12% — so share is being taken. Full-year ~18% reaffirmed.	On-track
₹1,200 cr capex, self-funded	₹300 cr spent in FY26; most of the spend to land in FY27; capacity added in phases every ~6 months.	₹600–650 cr confirmed for FY27, Silvassa wire capacity this quarter, Waghodia cable capacity later in the year. On plan, still funded internally.	On-track
FMEG to grow 25% a year (Project RRise)	Stated as a 25% compound growth target alongside 18% in wires and cables.	Now described as "growth of around 20%" — the bottom of the 20–25% range given in April, and below the original RRise number. Q1 actually delivered 28%, so this reads as conservatism rather than a miss, but the stated target has quietly come down.	Slipping (target, not delivery)

Net effect: one verdict unchanged, one upgraded. The **earning-trigger verdict stays YES** and is now better evidenced — the cable mix shift, the margin climb and the export engine all did in one quarter what the plan said they would do over a year. The **consistency verdict is upgraded from MAYBE to YES**. The reason is specific: the one promise the previous report singled out as broken — FMEG break-even — has now actually been delivered, and delivered *inside* the window management last committed to rather than slipping again. That is reinforced by management declining to raise margin guidance after beating it, which is the opposite of the over-promising habit that earned the MAYBE. The remaining blemish is the quiet trim of the FMEG growth target from 25% to ~20%; it is real, but it is a target being made more honest, not a delivery failure.

★ 3. Earning-trigger thesis

The driver is unchanged from the last report and it is now visibly working: **profitable scaling of the core wires-and-cables business, tilted deliberately toward higher-value cable**, funded by a ₹1,200 cr self-financed capacity build and aimed at real demand — infrastructure, housing, industrial projects, power transmission, renewables, and exports. "Project RRise" puts numbers on it: 18% a year of volume growth in wires and cables, and the segment margin lifted from ~8.5% to 10.5% by FY28, together roughly 2.5x-ing operating profit over three years.

What changed this quarter is the quality of the evidence. The margin target for the whole of FY27 was cleared in the first quarter without any inventory windfall; cable volumes grew at 25% against an industry running at 10–12%; and the FMEG arm, which was the one loss-making piece of the story, stopped losing money. One caution stays firmly in view: 54% headline revenue growth on 17% volume growth means copper is doing much of the talking, and copper cuts both ways.

Trigger	What management said	Evidence after Q1 FY27	Change since last report	Strength
Cable-led scaling of the core	Cable to outgrow wire; mix shifting from ~27% toward ~40%; ₹1,200 cr capex, 80% into cable, up to 220 kV.	Cable volume +25% vs wire +12%; segment revenue +57%, segment profit doubled to ₹285 cr; cable plants at ~90% use with new capacity landing this year.	Strengthened. The cable-vs-wire growth gap widened and capex is on schedule.	Strong
Margin expansion	Wires-and-cables margin 8.5% → 9.5% (FY27) → 10.5% (FY28); ~100 bps a year.	9.9% in Q1 FY27, up from 7.6%, driven by scale, cost absorption and mix — explicitly <i>not</i> inventory gains. FY28 target deliberately left unchanged.	Strengthened. FY27's target met a year early; guidance not inflated in response.	Strong
Exports as a second engine	Exports ~30% of wires and cables; shift export mix toward cable; USA a "very big opportunity" once tariffs clear.	Grew in line with domestic (~57%) <i>through</i> a Middle East war, offset by other geographies. Europe and Middle East still the mainstays. US: a few approvals, no orders, tariffs unresolved.	Upgraded. Last report called this Moderate on war risk; the business absorbed the shock. The US leg is still entirely unproven.	Strong US optionality not counted.
FMEG turnaround	Break-even in FY27 on a full-year basis, then sustained profit within 2–3 years; ~20% revenue growth.	Breakeven achieved in Q1 — first ever — on revenue +28%. Lights, appliances and switches grew well; fan volumes flat with revenue up on premium mix (premium ~25% of FMEG sales).	Materially improved. The one broken promise from the last report has landed. Still one quarter, and Q2 may relapse.	Moderate Was Weak / unproven.
Copper price pass-through	Prices are passed on; margin is managed through "disciplined commodity management".	Revenue +54% on volume +17% — roughly 25% of the growth is pure price. Pass-through worked this quarter, but FMEG break-even was delayed a year precisely because that segment could <i>not</i> pass costs on fast enough.	Unchanged. Still the biggest single swing factor in reported numbers.	Neutral / risk

4 Management consistency scorecard

Promised-versus-delivered across all twelve calls. The first five rows are carried forward from the Q4-2026 report; the last two are new judgements from the Q1 FY27 call.

Period & promise	What actually happened	Verdict
FY24 calls: wires-and-cables volume to grow ~20% a year.	Cut to 10–12% mid-FY25 and came in at ~7%; reset to 18% under Project RRise. FY26 delivered ~16%, Q1 FY27 delivered 17%. Close to the reset number, never to the original one.	Partly
FY24 calls: FMEG to break even by FY25.	Slipped FY25 → early FY26 → FY26 full year → FY27. Then delivered: operational breakeven in Q1 FY27, ahead of the last committed date. Three years late against the first promise, on time against the most recent one.	Missed, now recovered
FY24–FY25: wires-and-cables margin to rise ~100–140 bps a year toward 10.5–11%.	FY24 +140 bps, then guidance cut as copper swung and margin fell to 5.1% in Q2 FY25; recovered to 8.8%, then 9.9% in Q1 FY27. The destination was always right; the path was not linear.	Partly
FY24 calls: ₹500 cr self-funded capex to double power-cable capacity by Mar-2025.	Completed on schedule from internal cash and rolled into the ₹1,200 cr FY26–28 programme, which is also on schedule (₹300 cr FY26, ₹600–650 cr FY27).	Delivered
Q4 FY25 (Project RRise): 18% wires-and-cables and 25%	Year two, quarter one: operating profit almost doubled year-on-year, margin already at 9.9%, 130+ bps of the promised 300 banked.	Too early

FMEG growth → ~2.5x operating profit by FY28; 10.5% margin.	Tracking ahead — but two more years must be delivered before this can be marked.	
Q4 FY26 (Apr 26): exports would take a one-quarter hit from the Middle East war.	The warning was given unprompted and specific. The outcome was better than warned — exports grew in line with domestic, shipping normalised in May–June, inventory and working capital normalised to 50 days. Under-promised, over-delivered.	Delivered
Q1 FY27 (Jul 26): FMEG growth target restated as "around 20%".	Down from the 25% compound rate in Project RRIse and the bottom of the 20–25% range given in April. Q1 itself grew 28%, so delivery is ahead of the new target — but the stated ambition has come down without being flagged as a change.	Quiet trim

Narrative drift. Across twelve calls the story has not moved: scale up wires and cables, shift the mix toward cable, grow exports, drag FMEG to profitability, and pay for all of it out of internal cash. There has been no pivot into whatever happens to be fashionable — asked directly on this call whether R R Kabel would follow peers into solar, the answer was a flat no, "we do not have any plan in solar." What has changed since the last report is the *direction of the error*. The MAYBE verdict last quarter rested on a pattern of optimistic dating: promise a date, miss it, re-promise. This quarter shows the reverse — a warned-about export hit that did not arrive, a full-year margin target cleared in Q1, an FMEG break-even delivered inside the committed window, and management then *refusing* to raise guidance on the strength of it. Two blemishes remain and should be watched: the FMEG growth target has been quietly walked back from 25% to ~20%, and the FMEG breakeven is one quarter, with management itself warning Q2 may go back into the red. Neither is a broken promise; both are reasons to keep reading the next two calls carefully.

5 Bottom line — two verdicts

Durable earning trigger? → YES · vs last quarter: unchanged (YES), and better evidenced

The driver is concrete, funded, and now demonstrably working. Wires and cables — 91% of revenue and effectively all of the profit — grew volumes 17% against an industry growing 10–12%, with cable volumes up over 25% and the segment margin jumping to 9.9%, clearing the whole-year FY27 target in the first quarter without any inventory gain. It is backed by a real ₹1,200 cr capacity build that is on schedule, self-funded, and pointed at cable, where the plants are already 90% full. Return on capital is 28% and borrowings are ₹337 cr against ₹492 cr of annual profit, so this growth does not depend on the debt market's mood. The FMEG arm reaching breakeven removes the last drag but is not the thesis — it is upside. **Two honest qualifications.** First, the 54% headline revenue growth is mostly copper and the dollar, not customers; the durable part is the 17% volume growth and the doubling of operating profit on it. Second, at 49 times earnings the market has already priced a great deal of this in — a durable trigger is not the same thing as a cheap share.

Management consistent? → YES · vs last quarter: UPGRADED from MAYBE

The previous report withheld a clean YES for one specific reason: the FMEG break-even date had slipped roughly a year at a time, FY25 to FY26 to FY27, and that made management's dating unreliable. **That promise has now been kept** — break-even arrived in the first quarter of the FY27 they last committed to, early rather than late. Around it, the same call produced three more marks of a management that under-promises: a Middle East export hit they warned about and then absorbed, a full-year margin target cleared in Q1, and a direct refusal to raise the FY28 10.5% guidance on the back of a 9.9% quarter — "it is early in the year." The strategy has not drifted in three years, capex has been delivered on time and out of internal cash every single time, and they declined to chase peers into solar. The record is no longer mixed enough to justify a MAYBE. **What would take it back down:** if FMEG slides back into loss for the full year after the Q2 seasonal dip, or if the quietly reduced 20% FMEG growth target keeps drifting lower, the old pattern would be back and this verdict should be reversed. Watch the Q2 and Q3 FY27 calls on exactly those two points.

Sources: R R Kabel Ltd earnings-call transcripts filed with BSE (543981) and NSE (RRKABEL), sourced from Screener.in — Q1 FY27 (call 27 July 2026, transcript filed 3 August 2026) read in full for this report, and Q4 FY26 (call 30 April 2026, transcript filed 8 May 2026) re-read as the coverage boundary; the nine earlier calls, Q2 FY24 (Nov 2023) through Q3 FY26 (Feb 2026), are carried forward from the Q4-2026 edition of this tracker dated 4 July 2026. Screener.in consolidated and standalone financial history (profit & loss, quarterly results, balance sheet, cash flow, ratios, shareholding).

A note on the numbers: figures are quoted on a *consolidated* basis, which is what management uses on the call. The difference against standalone is immaterial and does not change any conclusion here — Q1 FY27 consolidated revenue ₹3,168 cr, operating profit ₹285 cr and profit after tax ₹205 cr against standalone ₹3,168 cr, ₹283 cr and ₹203 cr; FY26 consolidated net profit ₹492 cr against standalone ₹487 cr, a gap of about 1%.